

REM2 Research Methods

Exercise 3 – 1: Public real estate returns and inflation shocks

Instructions: Work in groups of two to complete the following tasks

1. Read the first paragraph on page 3 and the Data Appendix section on page 39 of the following paper (full text available at Web of Science). Can you identify the data sources of the key variables – Anxious Index, realised and expected CPI inflation rates, and REITs returns?

Connolly, R. A., and C. Stivers. "Public Real Estate Returns and Inflation Shocks: The Central Role of Inflation Nonneutrality." *Real Estate Economics* (2024).

2. Download the Anxious Index (AI) and Median CPI Inflation Rate (CPI) from the Survey of Professional Forecasters (SPF) website.

<https://www.philadelphiafed.org/surveys-and-data/data-files>

3. Open the downloaded Excel files. Observe the data. Note any missing values or outliers. Find the variable definitions in each file (Hint: Documentations).
4. Determine the type of the data - are these cross-sectional, time series, or panel data?
5. Identify the statistical methods used in Connolly and Stivers (2024).
6. Use a software package of your choice, generate descriptive statistics for the downloaded variables.
7. Use a software package of your choice, visualise the trends of Anxious Index and Expected Inflation Rate.
8. If you want to replicate this analysis by using data from the UK, can you find the corresponding data sources from the CRERC Databook? Discuss.
9. To estimate the model on page 929, which of the four software packages introduced in this lecture could be used? Discuss.